INTERNATIONAL MONETARY FUND

UNION OF THE COMOROS

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REQUEST FOR A STAFF-MONITORED PROGRAM—DEBT SUSTAINABILIT ANALYSIS

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Prepared by the staffs of the International Monetary Fund (IMF) and the International Development Association (IDA).

Comoros Joint Bank-Fund Debt Sustainability Analysis	
Risk of external debt distress	*High*
Overall risk of debt distress	*High*
Granularity in the risk rating	*Sustainable*
Application of judgement	*No*

Comoros' risk of external debt distress and overall risk of debt distress are high, a deterioration from the finding of moderate risk in the DSA prepared for the 2019 Article IV consultation. [1] *The change mainly reflects higher debt service obligations. Three out of four external debt burden indicators breach their respective thresholds under the macroeconomic assumptions underlying the Staff-Monitored Program (SMP) request. The recent taking up of large non-concessional loan with a short maturity and the integration of expected postal bank recapitalization costs into underlying macroeconomic projections were key drivers of the deterioration, while a pandemic-related weakening in economic performance also pushed the debt burden higher. Mitigating risks to debt sustainability requires (i) making faster progress on domestic resource mobilization and accelerating GDP and exports growth; (ii) ensuring gradual but sustained fiscal consolidation over the medium term; and (iii) avoiding the contracting of further non-concessional borrowing.*

[1] Comoros' debt carrying capacity is assessed as medium, given a Composite Indicator of 2.89 based on April 2021 WEO projections and the 2019 Country Policy and Institutional Assessment (CPIA) rating.

PUBLIC DEBT COVERAGE

1. The coverage of external debt effectively comprises the entire public sector (Text Table 1). It includes external debt of the central government, the central bank borrowing on behalf of the government (believed to be zero), and government-guaranteed debt of state-owned enterprises (SOEs, also believed to be zero).[2] Subnational government entities cannot take up external debt on their own, and SOEs cannot access the external debt market without a government guarantee. Information on domestic debt is limited to central government debt to domestic commercial banks (the government does not issue tradable debt securities). No information is available on domestic debt incurred by SOEs. The government intends to improve debt coverage through enhanced SOE oversight and improved financial reporting, which is supported under plans for SNPSF reforms.

Text Table 1. Comoros: Public Debt Coverage

Subsectors of the public sector	Sub-sectors covered
1 Central government	X
2 State and local government	
3 Other elements in the general government	
4 o/w: Social security fund	
5 o/w: Extra budgetary funds (EBFs)	
6 Guarantees (to other entities in the public and private sector, including to SOEs)	X
7 Central bank (borrowed on behalf of the government)	X
8 Non-guaranteed SOE debt	

Sources: Comorian authorities, and IMF staff

2. Comoros faces substantial contingent liabilities, estimated at 8.8 percent of GDP. As in the previous DSA, contingent liabilities not captured in government debt are set to 1.8 percent of GDP, the estimated level of domestic arrears that would remain after validation (the authorities intend to commission an audit of these arrears by end-September 2021, and staff will include the results in the next DSA).[3] Contingent liabilities created by SOEs are set to the default level of 2 percent of GDP, and contingent liabilities from the financial system to the default of 5 percent of GDP (lower than in the previous DSA as the cost of recapitalizing postal bank SNPSF has been brought into the macroeconomic projections).[4]

[2] The recent SDR allocation is currently not part of the DSA. It is recorded on the central bank's balance sheet and placed at an account at the French Treasury.

[3] These domestic arrears represent unpaid bills for goods and services, and are included as contingent liabilities as the figures are based on unaudited estimates from the national authorities. External debt arrears, in contrast, are included in the macroeconomic assumptions underlying the Staff-Monitored Program (SMP) request.

[4] The contingent liability for SOEs (2 percent) is at the default level, and includes potential unknown domestic debt and other possible future restructuring costs.

Text Table 2. Comoros: Coverage of the Contingent Liabilities Stress Test

1	The country's coverage of public debt	The central government, central bank, government-guaranteed debt		
		Default	Used for the analysis	Reasons for deviations from the default settings
2	Other elements of the general government not captured in 1.	0 percent of GDP	1.8	Reflects unaudited estimates of domestic arrears.
3	SoE's debt (guaranteed and not guaranteed by the government) 1/	2 percent of GDP	2.0	
4	PPP	35 percent of PPP stock	0.0	
5	Financial market (the default value of 5 percent of GDP is the minimum value)	5 percent of GDP	5.0	
	Total (2+3+4+5) (in percent of GDP)		8.8	

1/ The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0%.

Sources: Comorian authorities, and IMF staff

BACKGROUND

A. Recent Debt Developments

3. Comoros' public external debt burden has grown quickly in recent years mainly due to the taking up of loans related to large investment projects, some on non-concessional terms. External public debt reached 27.0 percent of GDP at end-2020 (from 18.6 percent of GDP at end-2018) and is expected to rise further to 28.9 percent of GDP at end-2021:

- In 2018, the authorities took up a loan of USD 29.5 million (2.5 percent of 2018 GDP) from a commercial bank (Eastern and Southern African Trade and Development Bank) to help finance the construction of an ambitious hospital project. The loan is repayable over 10 years and has no grant element.

- In 2019, the government took up a loan of USD 82 million (6.9 percent of 2019 GDP) from the Export-Import Bank of China to finance a modernization of equipment at Comoros Telecom. The loan is repayable over 25 years and has a grant element of 35.8 percent.

- In 2020, the authorities took up a loan of USD 54.9 million (4.5 percent of 2020 GDP) through a contract with a foreign construction company to finance the building of a hotel. The loan is repayable over 6½ years and has a grant element of 7 percent.[5]

Cyclone Kenneth in 2019 and the COVID-19 shock played a more limited role in pushing up the debt burden by weakening macroeconomic performance and giving rise to emergency borrowing from the IMF.

[5] This loan breached a ceiling on non-concessional borrowing agreed with the World Bank (WB). Comoros has since agreed to remedial actions under the WB's Sustainable Development Finance Policy, including avoiding any further contracting of non-concessional debt.

Nominal Stock of External PPG Debt, 2018-20
(millions of U.S Dollars; end-of-period)

	2018	2019	2020
Total External Debt	**186.8**	**235.0**	**275.0**
Multilateral Creditors	**27.0**	**23.3**	**37.3**
IMF	14.3	11.0	19.7
IDA	12.7	12.3	17.6
Bilateral Creditors	**118.0**	**154.9**	**178.4**
Saudi Arabia	33.7	33.7	33.7
India	26.4	26.4	26.4
China	30.8	67.7	91.5
Kuwait	25.1	25.0	24.8
France	2.0	2.1	2.1
Regional Creditors	**45.1**	**57.7**	**59.2**
BADEA[1]	28.3	28.3	28.3
ISDB[2]	7.8	7.7	7.9
IFAD[3]	3.4	3.4	3.5
OPEC[4]	3.0	2.9	2.9
ADF[5]	2.5	2.5	2.6
TDB[6]		12.9	13.9

1/ Arab Bank of Economic Development in Africa
2/ Islamic Development Bank Group
3/ International Fund for Agricultural Development
4/ Organization of Petroleum Exporting Countries
5/ African Development Fund
6/ Trade and Development Bank

Source: Comorian Authorities

4. Debt Structure. At end-2020, disbursed debt owed to official bilateral creditors accounted for 65 percent of public external debt, debt to multilateral creditors for 14 percent, and debt to regional lenders for 21 percent. The share of non-concessional debt stood at 13 percent of external debt at end-2020 and is expected to grow in the next few years as non-concessional loans are disbursed.

5. Domestic debt remains very small (0.9 percent of GDP at end-2020) in view of the small size of the domestic commercial banking system and lack of issuance of tradable debt securities by the government. The authorities hope to implement reforms that will allow them to issue debt securities in the future.

6. Comoros has benefitted from the Debt Service Suspension Initiative (DSSI). Debt service payments and arrears totaling an estimated USD 3.9 million (0.3 percent of GDP) were rescheduled/regularized in the context of the G20's Debt Service Suspension Initiative.[6] Participating creditors include: the Compagnie Française d'Assurance pour le Commerce Extérieur; EXIMBANK India; the Kuwait Fund; and the Saudi Fund for Development.

[6] Agreements under the DSSI have been incorporated into the macroeconomic assumptions underlying the Staff-Monitored Program (SMP) request.

7. However, Comoros continues to have small external debt arrears.[7] The authorities report arrears of USD 4.7 million (0.4 percent of GDP) to the Arab Bank for Economic Development in Africa (BADEA), USD 0.8 million (0.1 percent of GDP) to EXIMBANK India and USD 0.5 million (0.04 percent of GDP) to the OPEC Fund for International Development at end-May 2021. The authorities remain in discussions with BADEA and EXIMBANK India on debt rescheduling. The authorities have not informed staff of their intentions regarding arrears to the OPEC Fund.

B. Macroeconomic Forecasts

8. The macroeconomic forecasts underpinning the present DSA have changed from those used in the previous DSA (Text Table 3). The previous DSA was prepared in the context of the 2019 Article IV consultation and built on baseline projections and their underlying assumption of "established policies", as is required for Article IV consultations. In contrast, the present DSA accompanies a request for an IMF Staff-Monitored Program (SMP) and therefore builds on a scenario of improved policy implementation. Key improvements include quicker progress in fiscal revenue mobilization,[8] higher rates of investment, and moderately higher long-term growth. At the same time, the current DSA also reflects events that were not anticipated during the preparation of the previous DSA, including the COVID pandemic and recent substantial non-concessional borrowing. Key assumptions are as follows:

- Real sector: Assuming Comoros will be able to vaccinate 35 percent of the population in 2021 and make further progress on vaccination in 2022, and incorporating the short-term fiscal expansion, growth is expected to reach 1.6 percent in 2021 and 3.8 percent in 2022. Thereafter, growth is expected to rise towards its long-term potential of 4.2 percent, with some variation around this potential in the next few years due to the hotel construction project. Staff have revised potential growth down by 0.3 percentage points (from 4.5 percent in an earlier iteration of the policy scenario) to reflect the likely impact of natural disasters, which are becoming more frequent due to climate change.

- Fiscal sector: For 2021-22, projections anticipate a fiscal expansion due to efforts to support the recovery and ongoing investment projects. This will be followed by fiscal consolidation during 2023-26 and a stable fiscal deficit (of 1.3 percent of GDP) thereafter. Consolidation will be achieved mainly through progress in revenue mobilization and by phasing out pandemic-related fiscal support. As a result, all debt burden indicators are projected to remain below, or fall below, their respective thresholds. Projections include a fiscal financing gap starting in 2022 that mainly reflects

[7] These external arrears have been incorporated into the debt stock based on the macroeconomic assumptions underlying the Staff-Monitored Program (SMP) request. Projections of debt service payments to clear the arrears are also included in these assumptions on the basis of discussions with the authorities. The arrears represent <1% of GDP and hence do not automatically trigger an in-debt distress rating.

[8] The Staff-Monitored Program call for tax revenue gains by 0.2 percent of GDP in 2021 and 0.3 percent of GDP every year thereafter. These goals will be achieved thanks to both tax policy measures such as abolishing the sales tax exemption for construction materials (planned for October 2021) and tax and customs administration measures (such as the ongoing registration of additional taxpayers). The recent transfer of fuel products taxation from the state-owned oil company SCH to customs may also result in revenue gains.

insufficient funding for postal bank recapitalization, increased debt service obligations due to the non-concessional borrowing of recent years, and cautious assumptions on budget support.

- External sector: Exports are projected to recover to pre-pandemic levels over 2021-22 due to a strengthening of global demand, although tourism is likely to remain relatively subdued in 2021 despite indications of a stronger than expected return of the diaspora. Imports would recover as well and be spurred by substantial public spending. Remittance inflows are expected to return to pre-pandemic levels. With sustained import growth and increased interest payments following recently incurred non-concessional debt, the current account is projected to weaken gradually. Despite initially comfortable foreign exchange reserves coverage, the fiscal financing gap translates into an external financing gap of the same size as the government faces tight domestic and external borrowing constraints and thus requires support from the Fund and others to fill the fiscal gap.

Text Table 3. Comoros: Macroeconomic Assumptions for DSA

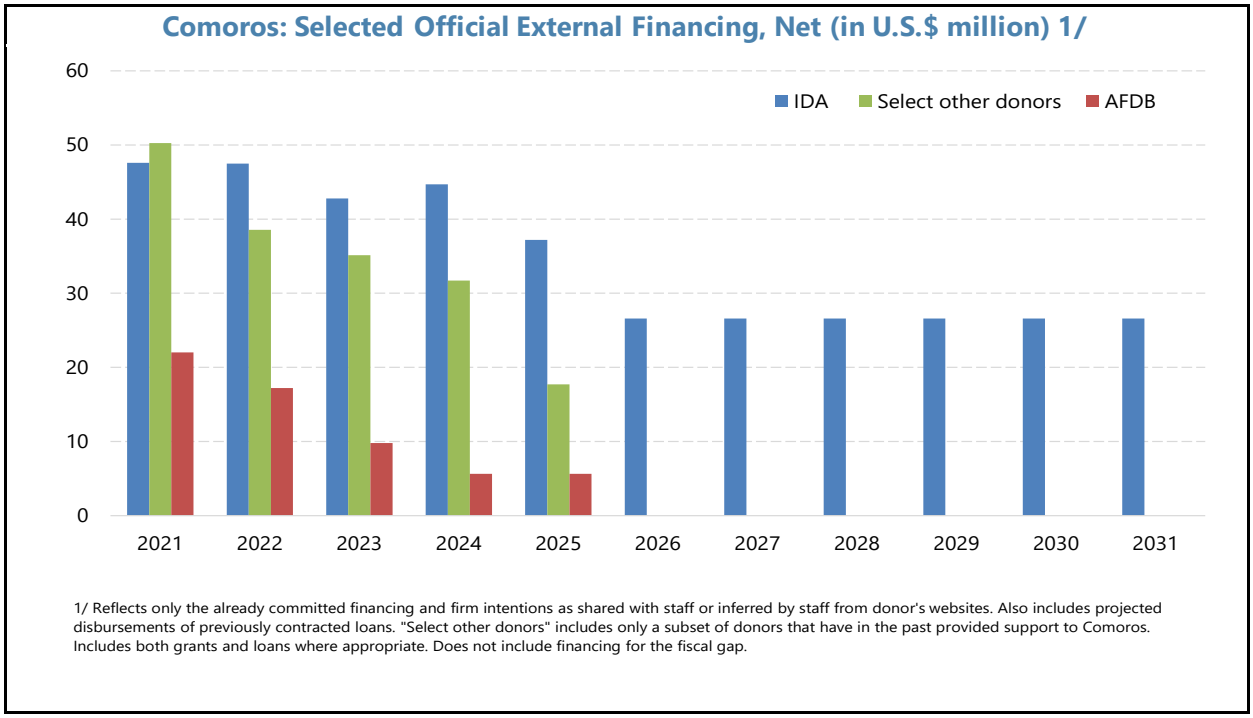
	2019 Article IV DSA-Baseline			2021 SMP DSA - Policy Scenario		
	2019-2025	2029	2039	2020-2026	2030	2041
GDP Growth Rate (percent)	3.5	3.8	3.8	3.0	4.2	4.2
Inflation, end of period (percent)	2.2	2.0	2.0	1.2	2.0	2.0
Government Revenues and Grants (percent of GDP)	9.3	9.9	10.4	9.6	11.6	15.1
Overall Fiscal Balance (percent of GDP)	-2.3	-2.2	-2.4	-2.2	-1.4	-1.2
FDI (percent of GDP)	0.7	1.1	1.2	0.4	1.2	1.5
Current Account Deficit (Percent of GDP)	-4.2	-3.5	-3.0	-5.7	-7.3	-6.9
Export of Goods and Services (annual percentage growth)	5.1	6.0	6.3	6.1	7.4	7.8
Import of Goods and Services (annual percentage growth)	5.2	6.0	5.7	5.5	6.8	6.5
Investment (percent of GDP)	17.2	15.1	14.9	16.1	17.1	17.7
Net Current transfers (percent of GDP)	13.4	12.9	13.0	14.9	13.3	13.2

Source: IMF staff

- Domestic borrowing: Staff assumes an increase in net credit from the central bank of a cumulative 2.6 percent of GDP in 2021-22. No further domestic borrowing is envisaged thereafter given increased challenges in the domestic financial system. This contrasts with the previous DSA, which assumed limited, rather than zero, domestic borrowing over the medium and longer terms.

- External borrowing: Staff assumes that as yet undisbursed parts of already contracted loans will be disbursed over the coming years in line with the authorities' plans. The text figure below shows IFI and selected official donors' financing intentions (grants and loans) as communicated to staff (or, in the case of AfDB, as inferred by staff from the institution's website). IDA financing, including through investment projects, is projected at US$ 48 million in 2021, and it is projected to decline to US$ 27 million in 2026, and to remain stable during the period 2026-2041. For most donors, announcements only reach a few years into the future, and staff complements medium-and longer-term projections based on historical experience. Staff further assumes that a remaining fiscal gap will be filled with borrowing on close to concessional terms (ECF terms with a 34 percent grant element). This assumption reflects Comoros' commitment to avoid non-concessional borrowing going forward. The average external loan financing from 2021-2031 is US$ 59 million (including the fiscal financing gap, which averages US$ 15 million) as compared to US$ 56 million from the previous DSA. The average grant element of new borrowing is 43.4 percent, slightly lower than the

46.1 percent of the previous DSA due to the take up of additional non-concessional loans (e.g., the hotel construction).



9. Realism tools do not flag any lack of realism of macroeconomic projections (Figures 3 and 4). The 3-year fiscal adjustment is smaller than in most historical Fund-supported programs. The difference between projected GDP growth in 2022 and growth that would be projected by standard fiscal-growth multipliers can be explained by the fact that the year 2022 should see an at least partial recovery from the pandemic. And the projected contribution of government investment/capital over the medium term is in line with historical experience.

C. Country Classification and Determination of Stress Test Scenarios

10. Comoros is assessed to have medium debt carrying capacity, unchanged from before (Text Table 4), with a Composite Indicator (CI) of 2.9 based on April 2021 WEO projections and the 2019 Country Policy and Institutional Assessment (CPIA) rating. The relevant thresholds indicating high risk are 40 percent for the PV of debt-to-GDP ratio, 180 percent for the PV of debt-to-exports ratio, 15 percent for the debt service-to-exports ratio, and 18 percent for the debt service-to revenue ratio. These thresholds are applicable to public and publicly guaranteed external debt.

11. Standardized stress tests use default settings. Further, Comoros qualifies for the natural disaster stress test given that it is exposed and vulnerable to natural disaster shocks, such as the eruption of the Karthala volcano or hurricane landfall. Given that the average annual impact of natural disasters is already factored into GDP growth projections, the size of the shock is reduced to 9.7 percent of GDP (from the default value of 10 percent of GDP).

Text Table 4. Comoros: Calculation and Contribution of the CI Score Components

Debt Carrying Capacity	Medium

Final	Classification based on current vintage	Classification based on the previous vintage	Classification based on the two previous vintages
Medium	Medium 2.89	Medium 2.84	Medium 2.97

APPLICABLE	
EXTERNAL debt burden thresholds	
PV of debt in % of	
Exports	180
GDP	40
Debt service in % of	
Exports	15
Revenue	18

APPLICABLE	
TOTAL public debt benchmark	
PV of total public debt in percent of GDP	55

DEBT SUSTAINABILITY

A. External Debt Sustainability

12. Three out of four external debt burden indicators breach their respective thresholds under the macroeconomic assumptions underlying the SMP request (Figure 1). The debt-to-exports indicator crosses the threshold in 2021 and again during 2023-25; the debt service-to-exports indicator breaches during 2024-27; and the debt service-to-revenue indictor over 2024-25. The recent taking up of large non-concessional loan with a short maturity and the integration of expected postal bank recapitalization costs into underlying macroeconomic projections were key drivers of the deterioration, while a pandemic-related weakening in economic performance also pushed the debt burden higher.[9] From a more structural perspective, the low level of fiscal revenue and the narrow base of exports are key risks for debt sustainability.

13. With this, staff assesses Comoros' risk of external debt distress as high, a deterioration from the finding of moderate risk in the DSA prepared for the 2019 Article IV consultation. Staff does not see country-specific elements that would suggest using judgment to change the mechanical "high risk" assessment resulting from threshold breaches in one direction or the other.

[9] The authorities estimate the postal bank (SNPSF) recapitalization cost at US$ 26.9 million. This is included in the fiscal framework underlying the SMP as a change in the net acquisition of assets.

14. Stress tests and alternative scenarios demonstrate Comoros' vulnerability to shocks. An exports shock constitutes the most extreme shock for the PV of debt-to-GDP, the PV of debt-to-exports, and the debt service-to-exports ratios, while a one-time depreciation is identified as the most extreme shock for the debt service-to-revenue ratio.

B. Total Public Debt Sustainability

15. Overall public debt is projected to remain well below its indicative benchmark under both the macroeconomic assumptions underlying the SMP request and stress tests (Figure 2), reflecting the only very limited domestic borrowing. The PV of total public debt-to-GDP ratio increases gradually but remains well below the benchmark. While an exports shock constitutes the most extreme shock for the PV of debt-to-GDP and PV of debt-to-revenue ratios, a depreciation is identified as the most extreme shock for the debt service-to-revenue ratio.

C. Risk Assessment and Vulnerabilities

16. Comoros' risk of external debt distress and overall risk of debt distress are assessed as high. Staff assesses that debt remains sustainable given the only limited size and duration of the breaches. In particular, all debt burden indicators are projected to remain or fall below their respective thresholds during the ten-year projection horizon. Vulnerabilities to the DSA projections remain significant given the possibility of a more prolonged/intensified pandemic, social and political unrest, or further natural disasters.

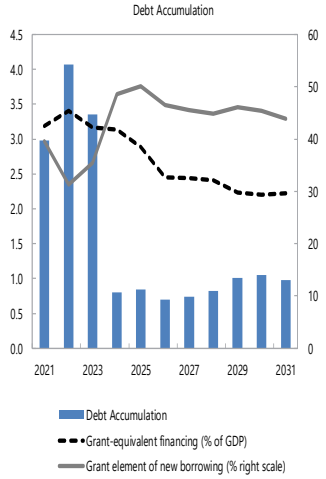
17. Mitigating risks to public debt requires several policy actions: (i) making faster progress on domestic resource mobilization and accelerating GDP and exports growth; (ii) ensuring gradual but sustained fiscal consolidation over the medium term; and (iii) avoiding the contracting of any further non-concessional borrowing.

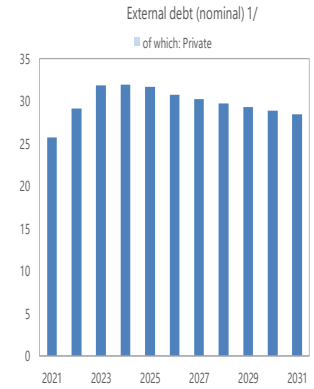
Table 1. Comoros: External Debt Sustainability Framework, 2018 – 2041

(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 8/	
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2031	2041	Historical	Projections
External debt (nominal) 1/	**16.4**	**19.9**	**21.2**	**25.7**	**29.1**	**31.8**	**31.9**	**31.6**	**30.7**	**28.4**	**25.3**	**17.5**	**29.7**
of which: public and publicly guaranteed (PPG)	**16.4**	**19.9**	**21.2**	**25.7**	**29.1**	**31.8**	**31.9**	**31.6**	**30.7**	**28.4**	**25.3**	**17.5**	**29.7**
Change in external debt	1.1	3.5	1.3	4.5	3.3	2.7	0.1	-0.3	-0.9	-0.4	-0.2		
Identified net debt-creating flows	**1.0**	**2.8**	**1.2**	**3.6**	**6.4**	**7.2**	**4.8**	**4.8**	**4.8**	**5.2**	**4.6**	**1.6**	**5.2**
Non-interest current account deficit	**2.8**	**3.1**	**1.5**	**4.0**	**7.3**	**8.2**	**6.1**	**6.4**	**6.6**	**7.4**	**6.9**	**2.8**	**6.8**
Deficit in balance of goods and services	17.5	17.6	21.1	21.5	23.1	22.9	20.3	20.5	20.6	21.0	20.0	**18.9**	**21.3**
Exports	12.6	12.0	7.3	8.9	11.1	11.1	11.2	11.3	11.4	12.0	13.6		
Imports	30.2	29.6	28.4	30.4	34.2	33.9	31.5	31.8	32.0	33.0	33.7		
Net current transfers (negative = inflow)	-14.1	-14.0	-18.7	-16.4	-14.7	-13.7	-13.5	-13.5	-13.5	-13.4	-13.3	**-15.6**	**-13.9**
of which: official	-1.6	-1.8	-3.4	-3.1	-3.2	-2.2	-1.9	-1.9	-1.9	-1.9	-1.7		
Other current account flows (negative = net inflow)	-0.6	-0.6	-0.9	-1.2	-1.1	-0.9	-0.8	-0.7	-0.6	-0.2	0.1	**-0.5**	**-0.6**
Net FDI (negative = inflow)	**-0.5**	**-0.3**	**0.0**	**-0.3**	**-0.2**	**-0.4**	**-0.6**	**-0.7**	**-0.9**	**-1.3**	**-1.5**	**-0.7**	**-0.8**
Endogenous debt dynamics 2/	**-1.3**	**0.1**	**-0.2**	**-0.2**	**-0.6**	**-0.6**	**-0.7**	**-0.9**	**-1.0**	**-0.9**	**-0.8**		
Contribution from nominal interest rate	0.0	0.2	0.2	0.2	0.3	0.4	0.4	0.4	0.3	0.2	0.2		
Contribution from real GDP growth	-0.5	-0.3	0.1	-0.3	-0.9	-1.0	-1.2	-1.3	-1.3	-1.1	-1.0		
Contribution from price and exchange rate changes	-0.8	0.2	-0.6	...	...	...	...	...	...	...	...		
Residual 3/	**0.0**	**0.7**	**0.1**	**1.0**	**-3.1**	**-4.4**	**-4.7**	**-5.1**	**-5.7**	**-5.6**	**-4.9**	**-2.4**	**-4.5**
of which: exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	**...**	**...**	**15.0**	**17.0**	**19.8**	**21.7**	**21.1**	**20.5**	**19.7**	**18.4**	**17.2**		
PV of PPG external debt-to-exports ratio	**...**	**...**	**204.2**	**190.7**	**179.3**	**196.6**	**189.1**	**181.7**	**172.9**	**153.9**	**125.8**		
PPG debt service-to-exports ratio	**2.9**	**5.2**	**9.6**	**8.5**	**9.5**	**12.6**	**21.0**	**16.7**	**15.4**	**10.6**	**10.5**		
PPG debt service-to-revenue ratio	**3.3**	**6.4**	**7.6**	**8.5**	**11.4**	**14.7**	**23.9**	**18.6**	**16.8**	**10.6**	**9.5**		
Gross external financing need (Million of U.S. dollars)	31.7	40.0	26.0	57.3	110.4	133.3	122.0	126.1	134.1	178.8	306.7		
Key macroeconomic assumptions													
Real GDP growth (in percent)	3.6	1.8	-0.5	1.6	3.8	3.7	3.9	4.3	4.4	4.2	4.2	**2.8**	**3.9**
GDP deflator in US dollar terms (change in percent)	5.6	-1.0	2.9	3.7	2.5	2.9	2.8	2.8	2.8	2.0	2.0	**0.4**	**2.5**
Effective interest rate (percent) 4/	0.3	1.2	1.1	0.8	1.3	1.4	1.4	1.2	1.1	0.8	0.8	**0.6**	**1.0**
Growth of exports of G&S (US dollar terms, in percent)	16.1	-4.6	-37.4	28.5	31.8	6.7	7.8	8.3	8.6	7.5	7.8	**2.5**	**11.7**
Growth of imports of G&S (US dollar terms, in percent)	16.6	-1.1	-1.8	12.8	19.5	5.8	-0.9	8.3	8.2	6.7	6.5	**2.9**	**8.0**
Grant element of new public sector borrowing (in percent)	...	...	...	39.6	31.3	35.4	48.6	50.2	46.5	43.9	37.8	**...**	**43.4**
Government revenues (excluding grants, in percent of GDP)	11.2	9.6	9.3	8.9	9.2	9.5	9.8	10.1	10.4	11.9	15.1	**11.0**	**10.4**
Aid flows (in Million of US dollars) 5/	2.5	5.1	27.2	40.0	45.8	48.3	49.5	50.8	48.0	55.7	80.1		
Grant-equivalent financing (in percent of GDP) 6/	...	...	...	3.2	3.4	3.2	3.1	2.9	2.5	2.2	2.1	**...**	**2.7**
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	52.5	45.6	46.9	60.5	63.3	63.0	63.0	58.0	**...**	**58.9**
Nominal GDP (Million of US dollars)	1,179	1,188	1,216	1,281	1,363	1,453	1,551	1,664	1,786	2,423	4,458		
Nominal dollar GDP growth	9.5	0.8	2.4	5.3	6.4	6.6	6.7	7.3	7.3	6.3	6.3	**3.3**	**6.5**
Memorandum items:													
PV of external debt 7/	...	...	15.0	17.0	19.8	21.7	21.1	20.5	19.7	18.4	17.2		
In percent of exports	...	...	204.2	190.7	179.3	196.6	189.1	181.7	172.9	153.9	125.8		
Total external debt service-to-exports ratio	2.9	5.2	9.6	8.5	9.5	12.6	21.0	16.7	15.4	10.6	10.5		
PV of PPG external debt (in Million of US dollars)			181.8	218.1	270.2	316.0	327.6	340.7	352.4	446.5	765.0		
(PVt-PVt-1)/GDPt-1 (in percent)				3.0	4.1	3.4	0.8	0.8	0.7	1.0	1.0		
Non-interest current account deficit that stabilizes debt ratio	1.7	-0.4	0.2	-0.6	3.9	5.4	6.0	6.7	7.5	7.8	7.1		

Definition of external/domestic debt	Residency-based
Is there a material difference between the two criteria?	No





Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g) + Ɛα (1+r)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, ρ = growth rate of GDP deflator in U.S. dollar terms, Ɛ=nominal appreciation of the local currency, and α= share of local currency-denominated external debt in total external debt.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

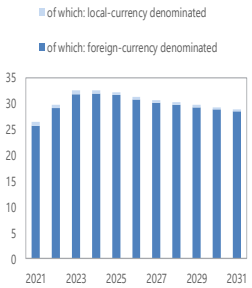
Table 2. Comoros: Public Sector Debt Sustainability Framework, 2018 – 2041

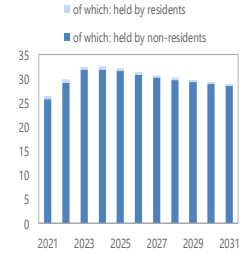
(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 6/	
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2031	2041	Historical	Projections
Public sector debt 1/	**16.7**	**20.7**	**22.1**	**26.4**	**29.8**	**32.5**	**32.5**	**32.2**	**31.3**	**28.8**	**25.5**	**17.9**	**30.3**
of which: external debt	**16.4**	**19.9**	**21.2**	**25.7**	**29.1**	**31.8**	**31.9**	**31.6**	**30.7**	**28.4**	**25.3**	**17.5**	**29.7**
Change in public sector debt	0.9	4.0	1.5	4.3	3.3	2.7	0.0	-0.3	-0.9	-0.4	-0.3		
Identified debt-creating flows	**7.7**	**9.1**	**5.7**	**9.6**	**9.6**	**7.3**	**5.0**	**4.7**	**4.8**	**5.2**	**5.7**	**3.8**	**6.1**
Primary deficit	**7.8**	**9.5**	**7.3**	**10.2**	**10.6**	**8.4**	**6.4**	**6.3**	**6.4**	**6.7**	**6.6**	**4.5**	**7.4**
Revenue and grants	11.4	10.0	11.5	10.2	10.8	10.7	11.0	11.3	11.6	13.1	16.3	**12.2**	**11.7**
of which: grants	0.2	0.4	2.2	1.3	1.6	1.2	1.2	1.2	1.2	1.2	1.2		
Primary (noninterest) expenditure	19.2	19.5	18.8	20.5	21.4	19.1	17.4	17.6	18.1	19.8	22.9	**16.8**	**19.1**
Automatic debt dynamics	**-0.1**	**-0.4**	**-1.6**	**-0.6**	**-1.0**	**-1.1**	**-1.4**	**-1.6**	**-1.6**	**-1.5**	**-1.0**		
Contribution from interest rate/growth differential	-0.5	0.0	0.2	-0.6	-1.0	-1.1	-1.4	-1.6	-1.6	-1.5	-1.0		
of which: contribution from average real interest rate	0.0	0.3	0.1	-0.3	0.0	-0.1	-0.2	-0.2	-0.2	-0.3	0.1		
of which: contribution from real GDP growth	-0.6	-0.3	0.1	-0.3	-1.0	-1.1	-1.2	-1.3	-1.4	-1.2	-1.0		
Contribution from real exchange rate depreciation	0.5	-0.4	-1.8	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**-6.8**	**-5.1**	**-4.3**	**-5.3**	**-6.2**	**-4.6**	**-5.0**	**-5.1**	**-5.8**	**-5.7**	**-5.9**	**-4.5**	**-5.5**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**	**15.0**	**17.8**	**20.4**	**22.3**	**21.6**	**21.0**	**20.2**	**18.8**	**17.3**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**130.2**	**173.7**	**188.9**	**207.8**	**196.5**	**185.3**	**173.5**	**143.4**	**106.4**		
Debt service-to-revenue and grants ratio 3/	**4.5**	**1.4**	**4.9**	**10.1**	**10.2**	**13.4**	**21.7**	**17.0**	**15.4**	**9.9**	**8.8**		
Gross financing need 4/	8.3	9.6	7.8	11.3	11.7	9.9	8.8	8.2	8.2	8.0	8.1		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	3.6	1.8	-0.5	1.6	3.8	3.7	3.9	4.3	4.4	4.2	4.2	**2.8**	**3.9**
Average nominal interest rate on external debt (in percent)	0.3	1.3	1.1	0.8	1.3	1.4	1.4	1.2	1.1	0.8	0.8	**0.7**	**1.0**
Average real interest rate on domestic debt (in percent)	3.1	-1.4	4.1	8.0	5.6	5.5	5.4	5.2	4.9	4.9	-1.9	**-0.3**	**5.4**
Real exchange rate depreciation (in percent, + indicates depreciation)	3.1	-2.6	-8.9	...	...	...	...	...	...	...	...	**0.5**	**...**
Inflation rate (GDP deflator, in percent)	1.0	4.5	0.9	-0.9	1.4	1.4	1.5	1.7	2.0	2.0	2.0	**1.7**	**1.6**
Growth of real primary spending (deflated by GDP deflator, in percent)	7.8	3.3	-4.2	10.8	8.3	-7.0	-5.8	5.9	6.9	5.7	5.8	**6.9**	**4.5**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	6.8	5.5	5.8	5.9	7.3	5.7	6.3	6.6	7.3	7.1	6.9	**6.1**	**6.8**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Residency-based**
Is there a material difference between the two criteria?	**No**

Public sector debt 1/





Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government, central bank, government-guaranteed debt . Definition of external debt is Residency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

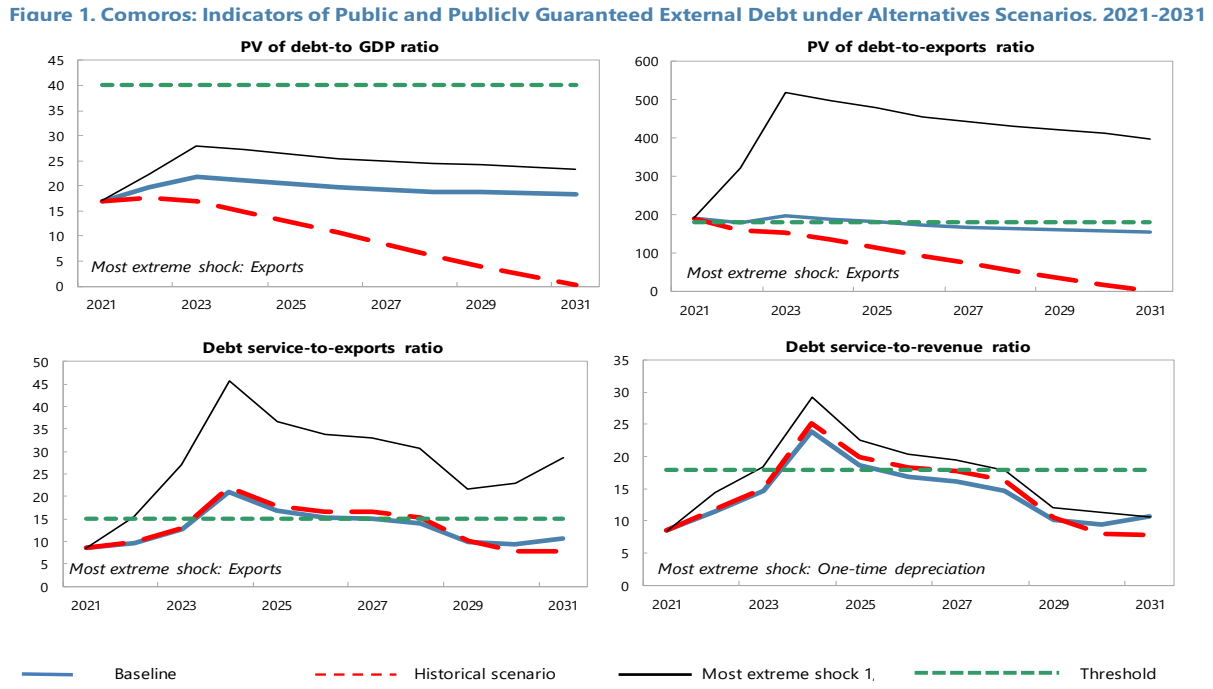
3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Figure 1. Comoros: Indicators of Public and Publicly Guaranteed External Debt under Alternative Scenarios, 2021–2031



Customization of Default Settings	Size	Interactions
Tailored Stress		
Combined CL	Yes	
Natural disaster	Yes	No
Commodity Prices [2/]	n.a.	n.a.
Market financing	n.a.	n.a.

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	1.1%	1.1%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	26	26
Avg. grace period	7	7

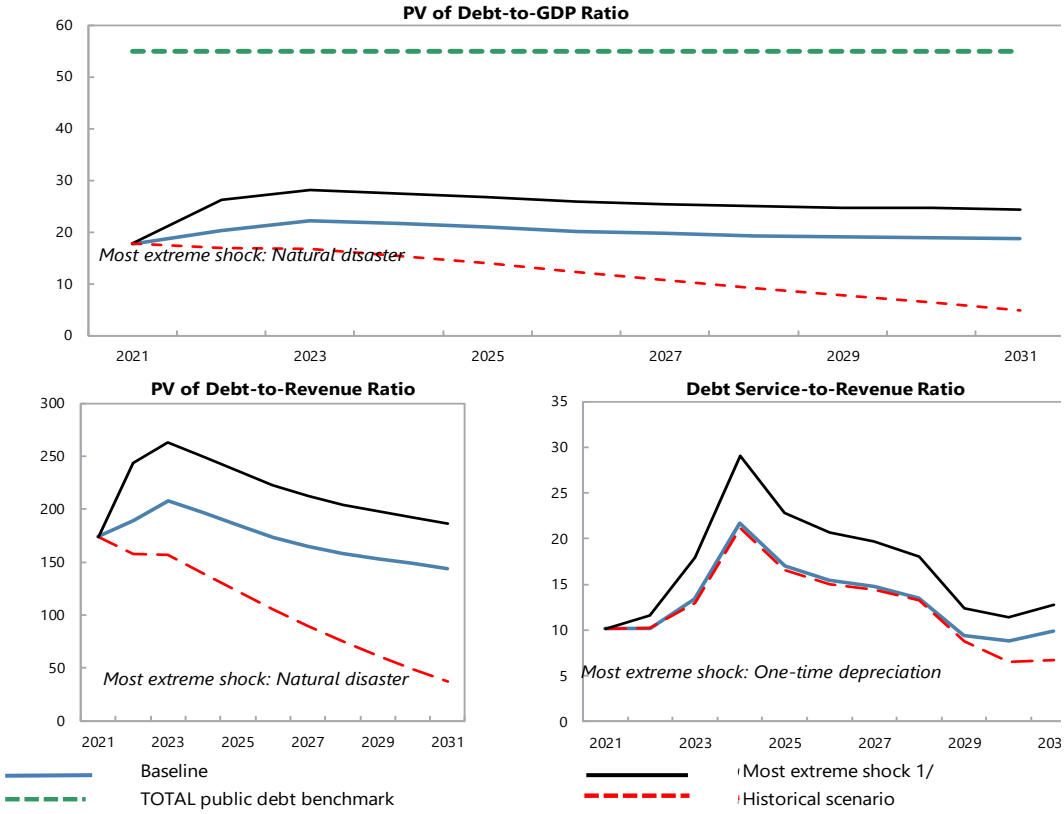
* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2031. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most extreme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

2/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

Figure 2. Comoros: Indicators of Public Debt Under Alternative Scenarios, 2021–2031



Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	100%	100%
Domestic medium and long-term	0%	0%
Domestic short-term	0%	0%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	1.1%	1.1%
Avg. maturity (incl. grace period)	26	26
Avg. grace period	7	7
Domestic MLT debt		
Avg. real interest rate on new borrowing	0.0%	0.0%
Avg. maturity (incl. grace period)	1	1
Avg. grace period	0	0
Domestic short-term debt		
Avg. real interest rate	0.0%	0.0%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2031. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

Table 3. Comoros: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2021–2031

	Projections 1/										
	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
PV of debt-to GDP ratio											
Baseline	17	20	22	21	20	20	19	19	19	19	18
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	17	18	17	15	13	11	8	6	4	2	0
B. Bound Tests											
B1. Real GDP growth	17	21	24	23	22	21	21	20	20	20	20
B2. Primary balance	17	23	27	26	25	25	24	24	23	23	23
B3. Exports	17	22	28	27	26	25	25	24	24	24	23
B4. Other flows 3/	17	22	25	25	24	23	23	22	22	22	21
B5. Depreciation	17	25	22	22	21	20	20	19	19	19	19
B6. Combination of B1-B5	17	25	27	26	26	25	24	24	23	23	23
C. Tailored Tests											
C1. Combined contingent liabilities	17	25	27	26	25	24	24	23	23	23	23
C2. Natural disaster	17	26	28	27	26	25	25	25	24	24	24
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	40	40	40	40	40	40	40	40	40	40	40
PV of debt-to-exports ratio											
Baseline	**191**	179	**197**	**189**	**182**	173	168	163	160	157	154
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	**191**	159	153	134	114	93	73	53	34	18	3
B. Bound Tests											
B1. Real GDP growth	**191**	179	**197**	**189**	**182**	173	168	163	160	157	154
B2. Primary balance	**191**	**203**	**244**	**235**	**226**	**216**	**209**	**203**	**199**	**195**	**189**
B3. Exports	**191**	**323**	**518**	**499**	**479**	**457**	**443**	**431**	**422**	**411**	**397**
B4. Other flows 3/	**191**	**196**	**230**	**221**	**212**	**202**	**196**	**191**	**187**	**183**	177
B5. Depreciation	**191**	179	160	154	148	141	136	132	130	128	128
B6. Combination of B1-B5	**191**	**300**	**222**	**352**	**339**	**323**	**313**	**304**	**298**	**290**	**282**
C. Tailored Tests											
C1. Combined contingent liabilities	**191**	**225**	**241**	**232**	**223**	**213**	**206**	**200**	**196**	**193**	**188**
C2. Natural disaster	**191**	**236**	**253**	**244**	**235**	**225**	**219**	**214**	**210**	**207**	**203**
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	180	180	180	180	180	180	180	180	180	180	180
Debt service-to-exports ratio											
Baseline	8	10	13	**21**	**17**	**15**	**15**	14	10	9	11
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	8	10	13	**22**	**18**	**17**	**17**	**15**	10	8	8
B. Bound Tests											
B1. Real GDP growth	8	10	13	**21**	**17**	**15**	**15**	14	10	9	11
B2. Primary balance	8	10	13	**22**	**18**	**16**	**16**	15	10	11	14
B3. Exports	8	**15**	**27**	**46**	**37**	**34**	**33**	**31**	**22**	**23**	**29**
B4. Other flows 3/	8	10	13	**22**	**17**	**16**	**15**	14	10	11	13
B5. Depreciation	8	10	13	**20**	**16**	15	15	13	9	9	8
B6. Combination of B1-B5	8	14	**22**	**35**	**28**	**26**	**25**	**24**	**17**	**18**	**20**
C. Tailored Tests											
C1. Combined contingent liabilities	8	10	13	**22**	**17**	**16**	**16**	15	10	10	11
C2. Natural disaster	8	10	14	**22**	**18**	**17**	**16**	**15**	11	10	11
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	15	15	15	15	15	15	15	15	15	15	15
Debt service-to-revenue ratio											
Baseline	8	11	15	**24**	**19**	17	16	15	10	9	11
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	8	12	15	**25**	**20**	**18**	18	16	11	8	8
B. Bound Tests											
B1. Real GDP growth	8	12	16	**26**	**20**	**18**	17	16	11	10	12
B2. Primary balance	8	11	15	**25**	**19**	18	17	15	11	11	14
B3. Exports	8	12	15	**25**	**20**	**18**	17	16	11	11	14
B4. Other flows 3/	8	11	15	**25**	**19**	17	17	15	11	11	13
B5. Depreciation	8	14	**18**	**29**	**23**	**20**	**20**	18	12	11	11
B6. Combination of B1-B5	8	12	17	**27**	**21**	**19**	**18**	17	12	13	13
C. Tailored Tests											
C1. Combined contingent liabilities	8	11	16	**25**	**19**	18	17	15	11	10	11
C2. Natural disaster	8	11	16	**25**	**20**	18	17	15	11	10	11
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	18	18	18	18	18	18	18	18	18	18	18

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

Table 4. Comoros Sensitivity Analysis for Key Indicators of Public Debt, 2021–2031

	Projections 1/										
	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
PV of Debt-to-GDP Ratio											
Baseline	18	20	22	22	21	20	20	19	19	19	19
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	18	17	17	15	14	12	11	9	8	6	5
B. Bound Tests											
B1. Real GDP growth	18	21	25	25	24	24	24	24	24	25	25
B2. Primary balance	18	23	28	27	26	25	25	24	24	23	23
B3. Exports	18	23	28	27	26	25	25	24	24	24	23
B4. Other flows 3/	18	22	26	25	24	24	23	23	22	22	22
B5. Depreciation	18	25	25	23	21	19	18	16	15	15	14
B6. Combination of B1-B5	18	22	25	21	21	20	19	19	19	19	19
C. Tailored Tests											
C1. Combined contingent liabilities	18	25	27	26	26	25	24	24	23	23	23
C2. Natural disaster	18	26	28	27	27	26	25	25	25	25	24
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
TOTAL public debt benchmark	55	55	55	55	55	55	55	55	55	55	55
PV of Debt-to-Revenue Ratio											
Baseline	174	189	208	196	185	174	165	158	153	149	143
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	174	158	157	139	123	105	90	75	61	49	37
B. Bound Tests											
B1. Real GDP growth	174	198	230	221	213	204	198	194	192	191	188
B2. Primary balance	174	214	257	244	230	216	205	197	190	184	176
B3. Exports	174	211	260	246	232	218	207	199	192	185	176
B4. Other flows 3/	174	206	242	229	216	202	193	185	178	172	164
B5. Depreciation	174	231	235	208	185	164	148	135	125	116	107
B6. Combination of B1-B5	174	209	229	194	183	172	163	156	151	147	142
C. Tailored Tests											
C1. Combined contingent liabilities	174	236	254	240	227	213	202	194	187	182	175
C2. Natural disaster	174	243	263	249	236	222	212	204	198	192	186
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	10	10	13	22	17	15	15	14	9	9	10
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2021-2031 2/	10	10	13	21	17	15	14	13	9	7	7
B. Bound Tests											
B1. Real GDP growth	10	11	14	23	18	17	16	15	10	10	11
B2. Primary balance	10	10	14	23	18	16	15	14	10	10	13
B3. Exports	10	10	14	23	18	16	15	14	10	10	13
B4. Other flows 3/	10	10	14	22	18	16	15	14	10	10	12
B5. Depreciation	10	12	18	29	23	21	20	18	12	11	13
B6. Combination of B1-B5	10	10	13	22	17	15	15	13	9	9	10
C. Tailored Tests											
C1. Combined contingent liabilities	10	10	14	22	18	16	15	14	10	9	10
C2. Natural disaster	10	10	15	23	18	16	16	14	10	10	11
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities; and staff estimates and projections.

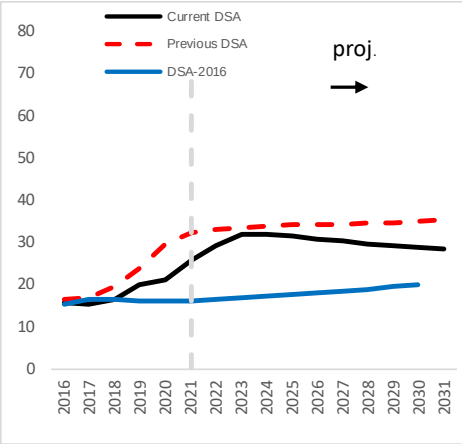
1/ A bold value indicates a breach of the benchmark.

2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.

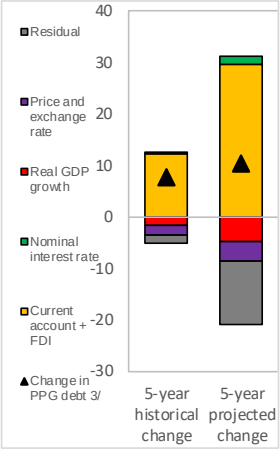
3/ Includes official and private transfers and FDI.

Figure 3. Comoros: Drivers of Debt Dynamics

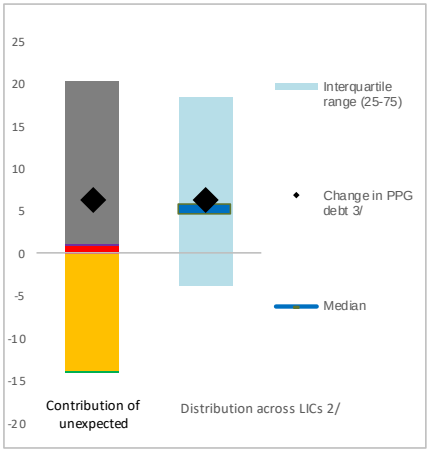
Gross Nominal PPG External Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)

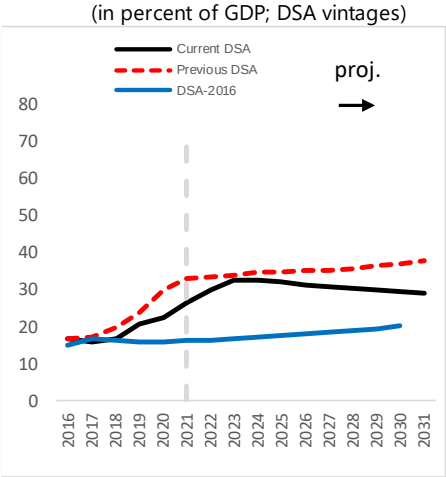


Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)



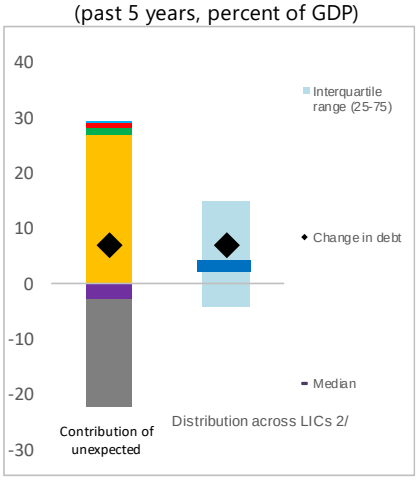
Public debt

Gross Nominal Public Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)

Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)



Sources: Country authorities; and staff estimates and projections.

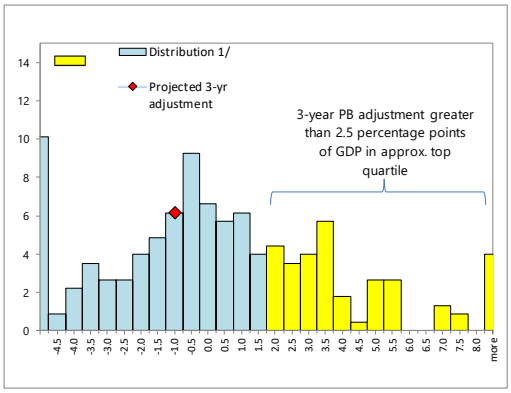
1/ Difference between anticipated and actual contributions on debt ratios.

2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

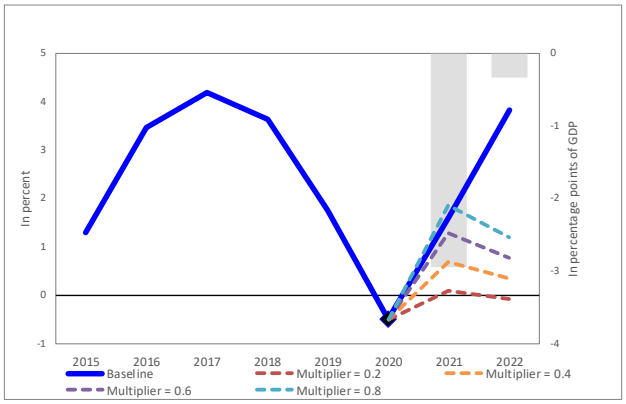
Figure 4. Comoros: Realism Tools

3-Year Adjustment in Primary Balance
(Percentage points of GDP)



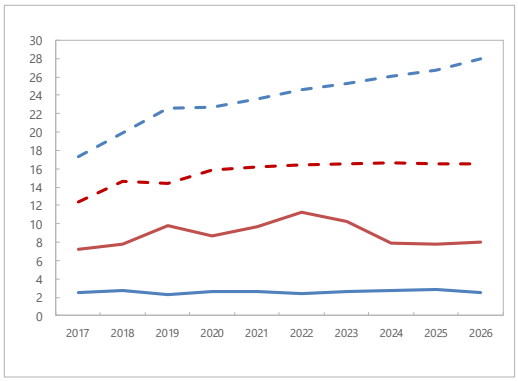
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/

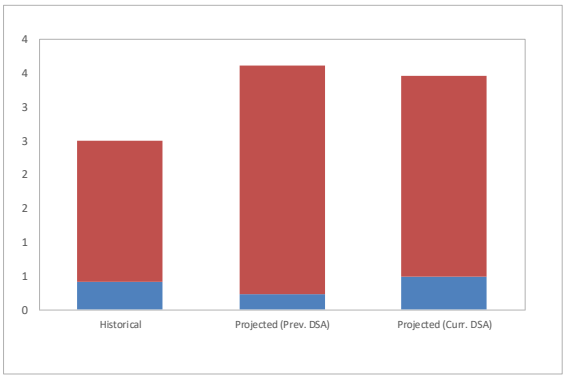


1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates
(percent of GDP)



Contribution to Real GDP growth
(percent, 5-year average)



Gov. Invest. - Prev. DSA
Gov. Invest. - Curr. DSA
Priv. Invest. - Prev. DSA
Priv. Invest. - Curr. DSA

Contribution of other factors
Contribution of government capital

Sources: Country authorities; and staff estimates and projections.

The significant difference between 'Prev. DSA' and 'Çurr. DSA' lines in the 'Public and Private Investment Rates' chart is predominantly due to a calculation error in the previous DSA. Specifically, foreign financed public investment was erroneously included in private investment rather than public investment, hence artificially inflating the former and deflating the latter. The sum of private and public investment in the two DSA versions is broadly similar.